

Question #1 of 22

Question ID: 1473906

The arbitrage gap for an ETF is *most likely* to be narrow when:

- A)** the ETF and the securities underlying the ETF trade in the same market.
 - B)** the securities underlying the ETF are illiquid.
 - C)** the ETF represents securities that are difficult to invest in directly.
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Question #2 of 22

Question ID: 1473905

Which of the following is *least likely* a purpose of the in-kind creation/redemption of an ETF?

- A)** Narrowing the arbitrage gap.
 - B)** Tax efficiency.
 - C)** Lower cost.
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Question #3 of 22

Question ID: 1473922

Zhang Wei, portfolio manager at Zenith Capital, makes the following two statements:

- | | |
|--------------|--|
| Statement 1: | For ETFs, hard closures entail creation halts and changes in investment strategy. |
| Statement 2: | When a bank ETN issuer is no longer interested in additional borrowings, the resulting creation halts may cause those ETNs to trade at a discount. |

Regarding the statements made by Wei, it would be *most* accurate to state that:

- A)** only statement 2 is correct.
 - B)** neither statement is correct.
 - C)** only statement 1 is correct.
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Question #4 of 22

Question ID: 1473925

A large bank's decision to issue exchange traded notes (ETNs) that track the S&P500 index is *most likely* to be motivated by the belief that:

- A)** the yield on bank's unsecured debt would be higher than the swap fixed rate.
 - B)** the return on the S&P 500 index would be lower than the bank's borrowing rate.
 - C)** the return on the S&P 500 index would be higher than the bank's lending rate.
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Question #5 of 22

Question ID: 1473907

When an ETF trades on the primary market, this is *most likely* to refer to a trade that happens:

- A)** on an exchange.
 - B)** over-the-counter.
 - C)** between APs and issuers.
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Question #6 of 22

Question ID: 1473908

ETFs trade in:

- A)** both primary and secondary markets.
 - B)** secondary markets only.
 - C)** primary markets only.
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Question #7 of 22

Question ID: 1473909

Bob Nelson, analyst for Sigma securities, is evaluating EUXL, a leveraged ETF on European stocks. While the ETF is listed on multiple exchanges, it primarily trades on OTC markets. Nelson would *most* accurately assume that:

- A)** OTC quotes tend to be more "live" compared to exchange quotes.

- The increased settlement complexity from fragmented markets will lead to an
- B)** increase in the quoted spreads.
 - C)** The increased settlement complexity from fragmented markets will lead to a decrease in quoted spreads.
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Question #8 of 22

Question ID: 1473919

ETF ownership costs are *least likely* to be increased by:

- A)** security lending.
 - B)** portfolio turnover.
 - C)** bid-ask spreads.
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Question #9 of 22

Question ID: 1473921

Settlement risk is *most likely* to be a concern for:

- A)** Exchange traded notes.
 - B)** ETF investors where the ETF sponsors lend securities to short sellers for a fee.
 - C)** ETFs using OTC derivative contracts.
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Question #10 of 22

Question ID: 1473923

Suppose that a particular mutual fund is benchmarked against a large-cap equity index. The fund manager unexpectedly receives a large inflow of cash and wants to quickly equitize this cash. The ETF strategy *most* appropriate in order for the fund manager to achieve this goal would be:

- A)** excess liquidity management.
 - B)** portfolio completion.
 - C)** portfolio liquidity management.
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Question #11 of 22

Question ID: 1473916

Consider the following two statements about exchange-traded funds:

Statement 1: Large ETF orders may incur price-impact costs depending on the liquidity of the secondary market.

Statement 2: ETFs that track stable indices will have a lower portfolio turnover cost.

It would be *most* accurate to state that:

- A) only statement 2 is correct.
 - B) both statements are correct.
 - C) only statement 1 is correct.
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Question #12 of 22

Question ID: 1473920

Exchange-traded notes (ETNs) are similar to exchange traded funds (ETFs), in that they both:

- A) are subject to total default by the issuer.
 - B) hold underlying securities.
 - C) use the creation/redemption process.
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Question #13 of 22

Question ID: 1473914

The maximum spread on an ETF is *most likely* to be negatively related to the:

- A) risk premium demanded by the authorized participants (APs) for carrying the trade until the close of trading.
 - B) probability of authorized participants (APs) completing an offsetting the trade in secondary market.
 - C) spread quoted on the underlying securities.
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Question #14 of 22

Question ID: 1473910

An ETF's tracking difference is *most accurately* measured as the:

- A) standard deviation of the difference in daily returns between the ETF and its benchmark.
 - B) difference between the ETF's return (based on its NAV) and the return on the index tracked.
 - C) annualized standard deviation of the differences between the daily returns of the ETF and its benchmark.
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Question #15 of 22

Question ID: 1473912

ETFs are *most likely* to underperform the benchmark by their:

- A) tracking error.
 - B) expense ratio.
 - C) arbitrage gap.
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Question #16 of 22

Question ID: 1473924

Which of the following is *most likely* to represent a passive strategy for constructing an ETF?

- A) Smart beta.
 - B) Representative sampling/optimization.
 - C) Alternative weighting.
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Question #17 of 22

Question ID: 1473915

An ETF is *least likely* to trade at a premium/discount to its NAV when:

- A) the ETF is infrequently traded.
- B) the underlying securities are exchange-traded.

- C) there are timing differences between the capture of the ETF trade price and the price used to calculate its NAV.
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Question #18 of 22

Question ID: 1473917

Compared to long-term buy-and-hold ETF investors, investors that trade frequently are *most likely* to be concerned with:

- A) management fees.
 - B) trading costs.
 - C) tracking error.
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Question #19 of 22

Question ID: 1473918

PSTO ETF is quoted at a bid-ask spread of 0.10%. ETF commissions are 0.04% of trade value. Management fees are 0.09% per year. The average annual total cost of holding the PSTO ETF for 3 years is *closest* to:

- A) 0.15%
 - B) 0.45%
 - C) 0.30%
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Question #20 of 22

Question ID: 1473904

It would be *most* accurate to state that ETF shares can be created or redeemed by:

- A) anyone, including individual investors using a brokerage account.
 - B) a special group of institutional investors (APs) only.
 - C) accredited investors (i.e. qualified investors) only.
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Question #21 of 22

Question ID: 1473911

All else constant, significant tracking error in an ETF is *most likely* to cause the ETF to:

- A)** be a poor instrument for hedging an exposure to the underlying index.
 - B)** trade at a discount.
 - C)** outperform the underlying benchmark.
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Question #22 of 22

Question ID: 1473913

Spreads tend to be narrower for:

- A)** fixed-income ETFs (as compared to large-cap equity ETFs).
- B)** specialized ETFs such as those that track commodity indexes.
- C)** popular ETFs.